This article is about an escrow of money. For escrows of computer source code, see source code escrow. An escrow is a contractual arrangement in which a third party (the stakeholder or escrow agent) receives and disburses money or property for the primary transacting parties, with the disbursement dependent on conditions agreed to by the transacting parties. Examples include an account established by a broker for holding funds on behalf of the broker's principal or some other person until the consummation or termination of a transaction; or, a trust account held in the borrower's name to pay obligations such as property taxes and insurance premiums. The word derives from the Old French word escroue, meaning a scrap of paper or a scroll of parchment; this indicated the deed that a third party held until a transaction was completed. Escrow generally refers to money held by a third party on behalf of transacting parties. It is mostly used regarding the purchase of shares of a company. It is best known in the United States in the context of the real estate industry (specifically in mortgages where the mortgage company establishes an escrow account to pay property tax and insurance during the term of the mortgage). Escrow is an account separate from the mortgage account where deposit of funds occurs for payment of certain conditions that apply to the mortgage, usually property taxes and insurance. The escrow agent has the duty to properly account for the escrow funds and ensure that usage of funds is explicitly for the purpose intended. Since a mortgage lender is not willing to take the risk that a homeowner may not pay property tax, escrow is usually required under the mortgage terms.
Escrow is an arrangement in which an asset or escrow money is held by a third party on behalf of 2 other parties that are in the process of completing a transaction.

Escrow companies are also commonly used in the transfer of high value personal and business property, like websites and businesses, and in the completion of person-to-person remote auctions (such as eBay), although the advent of new low-cost online escrow services has meant that even low-cost transactions are now starting to benefit from use of escrow.

Banks available for opening an escrow account are RBL Bank, IDFC Bank, DBS Bank, Yes Bank, ICICI bank, Axis Bank, State Bank of India, HDFC Bank.

In the UK, escrow accounts are often used during private property transactions to hold solicitors' clients' money, such as the deposit, until such time as the transaction completes. Other examples include:

Purchases of a second-hand car, where the money is held in the name of the buyer in a temporary bank account
Deposits for a property rental, where the money is released after the tenant moves out
Provision of construction services, where the money may be released when the building work is complete to a defined standard or when defined parts of the work are completed.

Internet escrow
Internet escrow has existed since the beginning of Internet auctions and commerce. It was one of the many developments that allowed trust to be established in the online sphere.

As with traditional escrow, Internet escrow works by placing money in the control of an independent and licensed third party in order to protect both the buyer and seller in a transaction. When both parties verify the transaction has been completed per terms set, the money is released. If at any point there is a dispute between the parties in the transaction, the process moves along to dispute resolution. The outcome of the dispute resolution process will decide what happens to money in escrow. With the growth of both business and individual commerce on the web, traditional escrow companies have been supplanted by new technologies.

In the US, the California Department of Business Oversight enacted Internet escrow companies as a licensed class effective 1 July 2001. The first Internet escrow company to be licensed was Escrow.com, founded by Fidelity National Financial in 1999.

In the European Union, the Payment Services Directive, which commenced on 1 November 2009, has for the first time allowed the introduction of very low-cost Internet escrow services that are properly licensed and government-regulated. The regulatory framework in the EU allows these web-based escrow services, which operate along the lines of expensive letter of credit service run by banks for international buyers and sellers but at a cost in cents rather than thousands of Euros, the ability to enhance security in commercial transactions.

Bogus escrow methods have been employed online. In an effort to persuade a wary Internet auction participant, the perpetrator will propose the use of a third-party escrow service. The victim is unaware that the perpetrator has actually created an escrow site that closely resembles a legitimate escrow service. The victim sends payment to the fraudulent escrow company and ends up receiving nothing in return. Alternatively, a victim may send merchandise to the subject and waits for his/her payment through the escrow site, which is never received because it is illegitimate. Genuine online escrow companies will be listed on a government register, and users are generally advised not to use an online escrow service without first verifying that it is genuine by independently viewing a government on-line register. Currently, the US Federal Government does not offer a license for online escrow services. However, certain states offer their own license for online escrow services; such as the California Department of Business and the Arizona Department of Financial Institutions.

Banking
Escrow is used in the field of automatic banking and vending equipment. One example is automated teller machines (ATMs), and is the function which allows the machine to hold the money deposited by the customer separately, and in case he or she challenges the counting result, the money is returned. Another example is a vending machine, where the customer's money is held in a separate escrow area pending successful completion of the transaction. If a problem occurs and the customer presses the refund button, the coins are returned from escrow; if no problem occurs, they fall into the coin vault of the machine.

Intellectual property
Source code escrow agents hold source code of software in escrow just as other escrow companies hold cash. Sometimes one may not own or have any rights to the software (including source code) that they are accessing under the terms of a regular SaaS or desktop software agreement. This arrangement does not usually become an issue until technical problems start to arise, i.e. unexpected service interruptions, downtime, loss of application functionality and loss of data. This can add significant costs to one's business, as they remain reliant upon the software supplier to resolve these issues, unless an escrow agreement is in place. Escrow is when the software source code is held by a third partyâ ”an escrow agentâ ”on behalf of the customer and the supplier.[citation needed]
Information escrow agents, such as the International Creative Registry, hold in escrow intellectual property and other information. Examples include song music and lyrics, manufacturing designs and laboratory notebooks, and television and movie treatments and scripts. This is done to establish legal ownership rights, with the independent escrow agents attesting to the information's ownership, contents, and creation date.

Law
Escrow is also known in the judicial context. So-called escrow funds are commonly used to distribute money from a cash settlement in a class action or environmental enforcement action. This way the defendant is not responsible for distribution of judgment monies to the individual plaintiffs or the court-determined use (such as environmental remediation or mitigation). The defendant pays the total amount of the judgment (or settlement) to the court-administered or appointed escrow fund, and the fund distributes the money (often reimbursing its expenses from the judgment funds).

Real estate

In the US, escrow payment is a common term referring to the portion of a mortgage payment that is designated to pay for real property taxes and hazard insurance. It is an amount "over and above" the principal and interest portion of a mortgage payment. Since the escrow payment is used to pay taxes and insurance, it is referred to as "T&I", while the mortgage payment consisting of principal and interest is called "P&I". The sum total of all elements is then referred to as "PITI", for "Principal, Interest, Tax, and Insurance". Some mortgage companies require customers to maintain an escrow account that pays the property taxes and hazard insurance. Others offer it as an option for customers. Some types of loans, most notably Federal Housing Administration (FHA) loans, require the lender to maintain an escrow account for the life of the loan.

Even with a fixed interest rate, monthly mortgage payments may change over the life of the loan due to changes in property taxes and insurance premiums. For instance, if a hazard insurance premium increases by $120 per year, the escrow payment will need to increase by $10 per month to account for this difference (in addition to collection for the resulting escrow shortage when the mortgage company paid $120 more for the hazard insurance premium than what was anticipated). By RESPA guidelines the escrow payment must be recomputed at least once every 12 months to account for increases in property taxes or insurance. This is called an escrow analysis.

The escrow payment used to pay taxes and insurance is a long-term escrow account that may last for years or for the life of the loan. Escrow can also refer to a shorter-term account used to facilitate the closing of a real estate transaction. In this type of escrow, the escrow company holds all documents and money related to closing the transaction, rather than having the buyer and the seller deal directly with each other. When and if the transaction is ready to close, the escrow company distributes all funds and documents to their rightful recipients, and records the deed with the appropriate authorities.

Courts sometimes act as stakeholders, holding property while litigation between the possible owners resolves the issue in which one is entitled to the property.

Mergers and acquisitions

Escrow arrangement is often used as a part of mergers and acquisitions a supplement that warranties and indemnities offered by the seller(s). This will be particularly likely where the credit risk of the seller(s) is of poor quality and the buyer is concerned about their ability to recover any sums that may become due.

Unlike many other forms of escrow, escrow arrangements in corporate transactions are often designed to last for extended periods rather than simply to complete the transfer of an asset. There is also commonly the requirement for an escrow agent to adjudicate on the validity of a claim on the escrow funds, which can lead to the risk of the dispute between the parties.

Due to the length that the funds are held, the escrow arrangements need to take into account different considerations to those for other escrow arrangements, for example (i) information provision to the parties; (ii) application of interest earned on the funds; and (iii) credit worthiness of the financial institution.

Gambling

For example, two people may bet on the outcome of a future event. They ask a third, disinterested, neutral personâ ”the stakeholderâ ”to hold the money ("stakes") they have wagered ("staked"). After the event occurs, the stakeholder distributes the stakes to one or both of the original (or other) parties according to the outcome of the event and according to the previously decided conditions. Trustees also often act as stakeholders, holding property until beneficiaries come of age, for example.

Legal implications

Not all escrow agreements impose the duties of a legal trustee on the escrow agent, and in many such agreements, escrow agents are held to a mere gross negligence standard and benefit from indemnity and hold harmless provisions.

If the escrow agent is licensed by governmental authority,[where?] then much higher legal standards may apply.

What is an Escrow Account?

An escrow account holds money or assets until certain conditions are met by the parties involved in a transaction.

In India, escrow accounts are used for real estate, digital lending, e-commerce, digital marketplaces, online gaming and more Escrow accounts significantly reduce the risk of non-payment or counterparty risks Escrow accounts are commonly used in real estate transactions, online purchases, mergers and acquisitions, and various financial agreements. They are particularly useful in transactions involving large sums of money or where there is a need for conditions to be met before completing the transaction.

Benefits of an Escrow Account are:

Escrow accounts are required by law for certain kinds of transactions, like real estate or corporate mergers,

Other transactions like high-value payments or crowdfunding campaigns are strongly recommended to go through an escrow account,

This is because escrow accounts provide an important layer of protection and transparency to the parties involved in the transaction and

Escrow accounts minimize the risk of fraud and scams by safeguarding all funds until all terms and conditions of the agreement are met.

Here are a few more benefits of using an escrow account for your transactions:

Escrow agent acts as a neutral third party to mediate any disputes,
Transactions are more streamlined by automating the payment and compliance process,
Features like multi-bank routing, auto reconciliation, trusteeship services and APIs,
Improved trust between parties involved in the transaction,
Understanding the Escrow Process,
Escrow accounts are used in transactions where there is a risk that one or both parties may not fulfil their obligations.

In other words, this account is used when there is a chance that something might go wrong.

Escrow in India is used across industries and businesses in a range of transactions. The fundamental mechanism of an escrow account is as follows:
1 Transfer funds
2 Transfer goods to A
3 Make payments.

Key Takeaways

An escrow account is a special kind of account that holds money or assets until certain conditions are met
Escrow accounts in India are used for real estate, digital lending, e-commerce, digital marketplaces, online gaming, and more
Using escrow accounts significantly reduces counterparty risk or risk of fraud.

Escrow Agreement

An escrow agreement is a contract between 3 parties: a buyer, a seller and the escrow agent. The agreement lists the terms and conditions of the escrow payment.

A depositor deposits funds or assets with the escrow agent in this agreement. Once the terms in the escrow agreement are met, the escrow agent releases the money or assets to the beneficiary.

Format of Escrow Agreement
An escrow agreement generally contains the following details:

Names and addresses of the buyer, seller, and escrow agent
Description of the property or assets being held in escrow
Amount of money or value of the assets being held in escrow
Conditions that must be met before the money or assets are released
Fees that will be charged by the escrow agent
Procedures for resolving disputes
The time period for completing the escrow payment
Method for notifying the escrow agent of any problems
Procedures for releasing the money or assets if the transaction is not completed
Procedures for resolving disputes if there is a disagreement about whether the conditions of the agreement have been met
The agreement may be terminated if one or both parties do not meet these terms.

Types of Escrow
Real Estate Escrow
When purchasing property, buyers place their funds in escrow. These funds are then released to the seller only when all contractual obligations, like inspections and documentation, are fulfilled.

This type of escrow safeguards both the buyer's money and the seller's property, ensuring that the intricate dance of real estate transactions remains harmonious and fair.

Online Escrow
As online transactions proliferate, so does the need for security mechanisms. Online escrow services have emerged as protectors in the vast world of e-commerce.

Escrow in Online Sales
Customer trust in e-commerce and digital marketplaces is very important. Most customers are wary of trusting online sellers because there is the risk of receiving defective products, or even not receiving the product at all.

To address these risks, most e-commerce sellers choose to receive money through an escrow account, which will only release money to the seller upon delivery and verification of the product.

Most online marketplaces also deal with a lot of vendors. Amazon, for example, does not manufacture most of the products it sells on its marketplace. It is only a middleman between the vendors who do and the people who buy.

Money earned from selling these products does not belong to Amazon â “ most of it has to be given to the vendor, and only a part of the sales will go towards Amazonâ ™s revenue.

To foster vendor relationships and trust, most online marketplaces choose to receive money from sales in an escrow account from where the money is distributed back to the vendor and the commission retained by the marketplace.

Escrow in Online Gaming
Online gaming platforms like Dream11 and MPL allow players to play games online and win real money. Players must pay an entry fee to enter a game, out of which

the prize money is paid to the winner. Till the winner is determined, the pool money is held in an escrow account to eliminate the risk of fraud.

Escrow in Stock Market

Sometimes, shares are issued in escrow â “ meaning that issued shares are not transferred to the owner until certain terms are met. In India, when a company issues shares to the public, the issuance is only valid if more than 90% of the shares are subscribed to.

If less than 90% of the shares issued are subscribed to, the money is returned back to the investors. To ensure this happens, the company issuing shares is required to open an escrow account and receive subscription money to that account.

Another common use of escrow payments when issuing stock is for employee compensation or bonus plans.

Escrow in Lending

In lending transactions, escrow payments are used to protect both the borrower and the lender. The borrowerâ ™s funds are held in escrow until they have met the terms of the loan, such as making all of the required payments.

The lenderâ ™s funds are also held in escrow until the borrower has met the terms of the loan. This helps ensure that both parties are protected in case of default.

Escrow in Acquisitions and Business Deals

Escrow accounts are also used by companies in mergers & acquisitions and other business deals like credit sales.

In the case of mergers, the deal amount is first deposited into an escrow account. Once the terms are met by both parties, the amount is released to the selling party.

In credit sales, the business might open an escrow account for the funds to be held until the vendor fulfils their side of the transaction.

For example, a business buys goods from a supplier on credit. The supplier agrees to deliver the goods in 30 days, and the business agrees to make the payment immediately â “ but the money will be transferred to an escrow account.

Once the supplier delivers the goods, the business verifies the condition and quality; the escrow agent then releases the funds to the supplier.

Benefits of Escrow as a Service (EaaS)

Reduced costs: EaaS can significantly reduce the costs associated with traditional escrow services. EaaS can save businesses money on administrative fees, storage costs, and courier fees by eliminating the need for physical escrow accounts

Increased efficiency: EaaS can streamline the escrow process by providing a centralized platform for managing all aspects of the escrow agreement. This can help to reduce the time and effort required to complete escrow transactions

Enhanced security: EaaS can provide a higher level of security for escrow transactions. Using cloud-based technology, EaaS can help protect sensitive data from unauthorized access.

How to Open an Escrow Account Online

To open an escrow account online, you will typically need to follow these steps:

Choose an escrow provider. Consider factors such as the providerâ ™s fees, the types of transactions they support, and their customer service reputation

Create an account. This usually involves providing some basic information about yourself, such as your name, address, and contact information

Provide documentation like a copy of your driverâ ™s license, passport, or

business registration certificate
Deposit funds into the escrow account. This can usually be done via bank transfer, credit card, or debit card
Fund release instructions. This will typically involve signing an escrow agreement outlining the transactionâ ™s terms.

Regulations around Escrow in India
In India, the law mandates the use of escrow accounts for certain kinds of transactions. It is important to know what the law says about escrow accounts and whether your business needs one or not.

The Securities and Exchange Board of India (SEBI) mandates the use of an escrow account when issuing shares. This is to ensure that the money collected from investors is used for the intended purpose of issuing shares and is not misappropriated
The Reserve Bank of India (RBI) requires banks and non-banking financial companies (NBFCs) to use escrow accounts to hold property taxes and homeowners insurance payments for home loans This is to ensure that these payments are made on time and that the home loan borrowers are not defaulting on their payments
The Real Estate (Regulation and Development) Act, 2016 (RERA) requires real estate developers to open an escrow account to hold the money collected from homebuyers. This is to ensure that the money is used for the construction of the project and is not misappropriated
The Information Technology (Intermediary Guidelines) Rules, 2011 (IT Rules) require online platforms that facilitate escrow services to comply with certain regulations. These regulations include registering with the Ministry of Electronics and Information Technology (MeitY), maintaining records of all transactions, and resolving disputes in a timely manner
The regulations and laws around escrow in India are designed to protect the interests of all parties involved in an escrow transaction.

By complying with these regulations and laws, escrow agents can help to ensure that escrow accounts are used safely and securely.

Choosing the Right Escrow Account for Your Business
There are many different solutions on the market â “ the wisdom lies in knowing which is the right one for your needs and your business.

RazorpayX Escrow+ is the only escrow solution on the market with automated, 10-second disbursals, all-in-one escrow, trustee and banking services and more:

Effortless auto-reconciliations,
Multi-bank routing,
Robust APIs,
Pre-approved money flows,
Plug & play industry modules.

Castlerâ ™s escrow solution protects money in scheduled commercial banks with bank grade security and requires approval of a SEBI approved trustee before release of payment.

Following are the solutions offered by Castler:

Castler offers Enterprise Escrow where you can integrate your Escrow with India's top banks using our robust platform,

Castler offers Connected Banking Suite where you can manage all your current & Escrow account on a single platform,

Castler offers Exclusive Label & On-Prem Solutions where you can customize Indiaâ ™s largest Escrow banking platform your way.